mpDAO Tokenomics - multi-chain governance

This document is intended to be informational and will be updated as we move forward on the launch of the multi-chain governance for the Meta Pool liquid staking platform and our tokenomics plan for it.

Currently Meta Pool liquid staking platform supports the following blockchain technologies:

- Aurora
- Ethereum
- NEAR
- Q Network
- Solana

Our goal is to describe how multi-chain governance and tokenomics will operate and the mechanisms in place that will allow value accrual for governance participants in the Meta Pool platform.

What we are building is a non-inflationary yield platform that puts Proof of Stake token holders front and center. Giving them maximum exposure to the value accrued by a blockchain native staking rewards.

Kickstarting the Meta Pool DAO.

It has been a few months since we started on this journey and we are grateful to all of the individuals and organizations that have supported us during this process in decentralizing the liquid staking platform.

Our goal is to establish a path forward for protocols to place all value accrual in the hands of those that are actively contributing and collaborating with a blockchain platform. This is why we built our liquid staking protocol on top of a Decentralized Autonomous Organization (DAO) framework built on NEAR Protocol blockchain technology.

Since May 2023 the DAO has distributed around 24,000 stNEAR to our governance voters and participants in our Meta Pool Grants program. We are proud to have committed builders and creators around the NEAR and Ethereum ecosystems collaborating with us, either through our Gitcoin Round for Latin America, the Giveth campaign for the Asia Pacific region and our collaboration with communities such as the Global Chinese Community.

Meta Pool will always put token holders front and center of everything we do and access to the protocol fees of our platform is a crucial part of our strategy that will enable sustainable systems in blockchain ecosystems on a global scale.

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1. mpDAO Governance token.

1.1 mpDAO tokenomics

The current token distribution for our governance token - mpDAO - is as follows.

- Ticker - mpDAO
- Maximum supply: 1,000,000,000
- Circulating supply: 141,000,000
- Token Format:
    - NEAR Protocol - NEP-141
    - Ethereum native ERC20

mpDAO is distributed across four categories.

Category	Total
Community allocation	57.4%
Investors	10%
Team & Advisors	2.6%
Founders	30%

For all on-chain information please visit the following dashboard: https://stats.metapool.app/d/o6-y_wQ7k/meta-pool-public-dashboard?orgId=2&from=now-30d&to=now

1.2 Characteristics of the protocol fees on the Meta Pool DAO.

The main source for the DAO to acquire protocol fees is from the staking rewards fees that we charge delegators and the fast unstaking mechanism from the internal swap pool.

Here is a table with the list of blockchains we support and the fee charged for minting the liquid staking token:

Blockchain	Staking reward fee	Fast unstake fee (variable)	Smart Contract address
Aurora	%10	0.3 to 3.0%	
Ethereum	%10	0.3 to 3.0%	
NEAR	%6	0.3 to 3.0%	
Q Network	%10	0.3 to 3.0%	
Solana*	NA	NA	NA

• We partnered with Marinade Finance and all protocol fees are through their platform

Protocol fees will be claimed on NEAR Protocol.

For this initial phase we will be distributing stNEAR protocol fees, since it represents the largest source of protocol fees for the Meta Pool DAO. Once the multi-chain governance has been established and distribution of the protocol fees has been adopted on both NEAR and Ethereum networks, we will start to allocate protocol fees from the blockchains we support.

All protocol fees are accumulated in the following wallet:

- Wallet : meta-pool-dao-7.near

We chose NEAR Protocol as our main blockchain to distribute protocol fees because it is a reliable network and gas is cheaper compared to Ethereum. At a later stage we will choose an Ethereum L2 network that will allow us to leverage its security and low transaction costs. For the moment we will start with the NEAR Protocol blockchain.

Protocol fees are not inflationary.

It is important to understand that we are not minting any stNEAR tokens to distribute to governance participants. It is directly coming from the staking rewards generated by our stakers.

Note: We will not be distributing our governance tokens as rewards for governance participation.

Staking reward fees from Aurora, Ethereum, Q and Solana
All other networks will continue to accrue protocol fees and once they are ready to start delivering them to our governance participants we will draft a Meta Pool Improvement Proposal to be discussed with the community.

For now those protocol fees are being used to support community programs such as our Ambassador program, Gitcoin, Giveth and other activities that promote the use of the Meta Pool platform.

Note: In Q1 2025 we will do a governance review to start allocating protocol fees from the rest of the blockchain protocols the Meta Pool DAO supports.

1.3 Access to our governance token - mpDAO.

Our mpDAO governance token will be available on May 1st 2024 on NEAR Protocol and Ethereum mainnet.

These are the smart contract address for the mpDAO token:

- ERC20 token on Ethereum mainnet: 0x798bcB35D2d48C8cE7eF8171860B8d53A98b361d

- NEP141 on NEAR Protocol mainnet: mpdao-token.near

Network	Token	Standard	Contract address	Total Supply
Ethereum	mpDAO	ERC20	0x798bcB35D2d48C8cE7eF8171 860B8d53A98b361d	500.000.000
Near	mpDAO	NEP141	mpDao-token.near	500.000.000

The mpDAO governance token will not be a bridged asset, this will enable our governance to reduce any risk of bridge smart contract vulnerabilities and most importantly that it will enable our governance to be censorship resistant.

We have decided to mint each token for both the NEAR and Ethereum blockchains, we will leverage the NEAR Protocol technology stack to support our multi-chain governance.

1.3.1 mpDAO - Ethereum mainnet.

The ERC20 token will be available on Uniswap, as we begin to roll our multi-chain governance to give Ethereum communities the opportunity to understand the locking mechanism and start to participate in Meta Vote.

There will be an initial provisioning of our governance token into two pools mpDAO<>USDT and mpDAO<>ETH, so communities that we have engaged on the Ethereum ecosystem can acquire voting rights into our DAO.

2. mpDAO multi-chain governance.

We are at the forefront of what can be done with blockchain technology and governance, as part of our preparation to support multiple blockchain protocols for our governance framework.

The Meta Pool DAO allows anyone to be part of our governance through staking activities; which signals support for the platform and allows more value to be distributed through governance voting.

2.2 mpDAO voting on NEAR mainnet.

The governance already established on NEAR Protocol blockchain will not change, it will remain our main technology stack for all our governance.
A minor difference is that the new mpDAO token will have a precision of 6 decimals in all chains, to maximize multi-chain compatibility. Current voting positions will not change and users will be able to vote or change voting positions as they see fit.

3. Meta Pool DAO - Vote to Earn.

When we built Meta Pool more than two years ago we committed ourselves to our users, these are the stakers that contribute to the growth of the sustainability of the platform. There was an initial distribution of our Governance token through a community launch and also an Initial Distribution Offering.

Now with more than 140 million tokens liquid on the market, the Meta Pool DAO decided to start the distribution of the protocol fees being generated by the platform. The distribution of the protocol fees are on our native liquid staking token on NEAR Protocol - stNEAR.

For mpDAO Ethereum token holders to have access to them, we enabled the DApp to assign a non-custodial wallet to those users who hold mpDAO on Ethereum mainnet.

For mpDAO NEAR token holders, the process is automatic and does not require any extra action from their part.

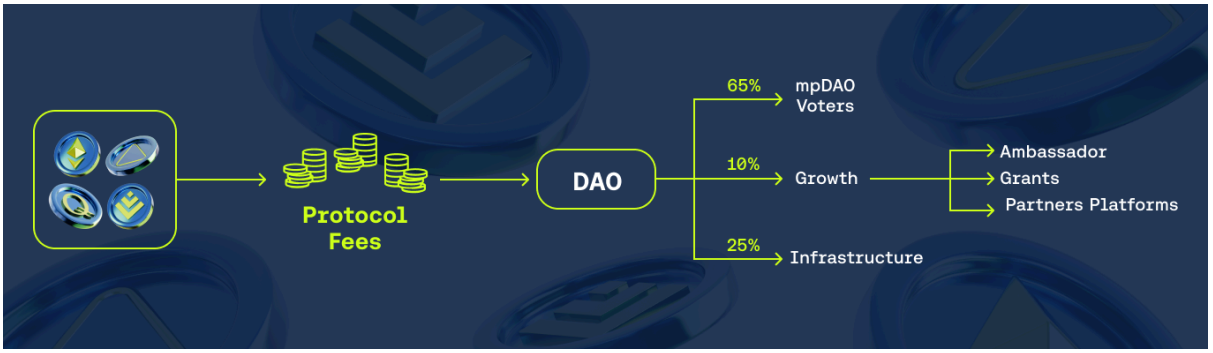
3.1 Access to the protocol fees for governance participation.

The Meta Pool DAO goal is to establish a mechanism where value accrual is delivered to users that are active on the governance of the protocol. Staking is an activity that brings value to users through the minting of the Liquid Staking Token; so for our governance to drive value, we need active participation from the community.

We believe that there are many ways to bring value to our DAO, but staking should be just the initial step. We want to build a self sustaining platform that allows users access to an automatic value accrual system, which starts by Proof of Stake token holders like NEAR, Ethereum, Solana, Q and more to delegated their tokens through the Meta Pool platform and then participate in it´s governance to maximize the exposure to the staking rewards, not only the staking rewards but also the protocol fees from Meta Pool.

In order for mpDAO token holders to claim protocol fees from the DAO, they will need to lock their tokens for a minimum of 30 days and a maximum of 300 days.

The following is an infographic that explains how you accrue value from the Meta Pool ecosystem.



We believe that a healthy ecosystem is built on top of a platform that allows maximum exposure to native rewards from a Proof of Stake blockchain. That is what we want to build with our multi-chain governance platform.

3.2 Distribution of the protocol fees from the DAO.

The Meta Pool DAO staking rewards commitment:

- Native token stakers get the maximum yield permitted by the platform in staking rewards, without compromising the decentralization of the protocols we support and can help improve the Nakamoto coefficient.

Our commitment for our multi-chain governance is this:

- In order for the DAO to be self-sufficient; 25% of the protocol fees are allocated to pay for all the necessary infrastructure and people that maintain the platform and help its reliability and security.
- Governance token holders get at least 65% of the protocol fees from the liquid staking platform; these will be allocated to mpDAO tokens locked and where their voting power is being used in voting for grants, validators and Meta Pool Improvement Proposals (MPIPs).
- The growth cycle initiatives get at least 10% of the protocol fees from the liquid staking platform. Plus we will allocate incentives in mpDAO tokens with a vesting schedule.
- The growth initiatives consists of the following programs:
    - Meta Pool DAO grants
    - Ambassadors program
    - Partner platforms

Important:
Holding the mpDAO token does not grant any protocol fees, they have to be locked and the voting power assigned needs to be used in the Meta Pool DAO governance. The DAO pays active voters for the work of participating in the governance.

All the on-chain information for the liquid staking platform can be found in a public dashboard on stats.metapool.app

Currently the DAO is accruing protocol fees in the following blockchains:

- Aurora
- Ethereum
- NEAR
- Solana

For the initial launch of our multi-chain governance we will only be distributing the NEAR Protocol staking reward fees, which is currently around 26,218 stNEAR tokens per month (approximately).

You can find the latest on-chain information of the staking rewards in the Governance section of our dashboard in stats.metapool.app

The following table is how the protocol fees will be distributed per month:

	Protocol fees (stNEAR)	Protocol fees (Stablecoin, 1 stNEAR ~ $9)
Protocol maintenance & team compensation	6,555	$58,995
Governance participation	17,042	$153,378
Growth initiatives	2,622	$23,598
Total	26,218	$235,962

3.3 Exercising your voting power on the Meta Pool DAO.

This is an example of how we calculate the protocol fees based on the Voting Power from each wallet.

- 65% of the protocol fees will be distributed between active voters.
- To receive your payment you need to be an active governance member, voting and participating in the governance.
- The payments are proportional to the voting power used during the month. If during the past month, your votes represented 2% of all voting power used, you will receive 2% of the **stNEAR** to be distributed to voters. Example:
    - You get mpDAO and lock it
    - You have 2% of all voting power
    - You participate with that 2% voting
    - Monthly protocol fees are $234,090
    - 65%, $152,158 will be distributed to active voters,
    - You have 2% of the active vote
    - So you'll' get paid 2%, $3,043 per month for your work voting and participating in the governance
    - So you'll get $36,518 a year; assuming no change in stNEAR price.

- **Note: It is important to notice that Meta Pool DAO rewards payment is not inflationary**. The DAO distributes stNEAR tokens from the staking rewards, so the mpDAO governance tokens you lock **are not subject to an inflationary process**.

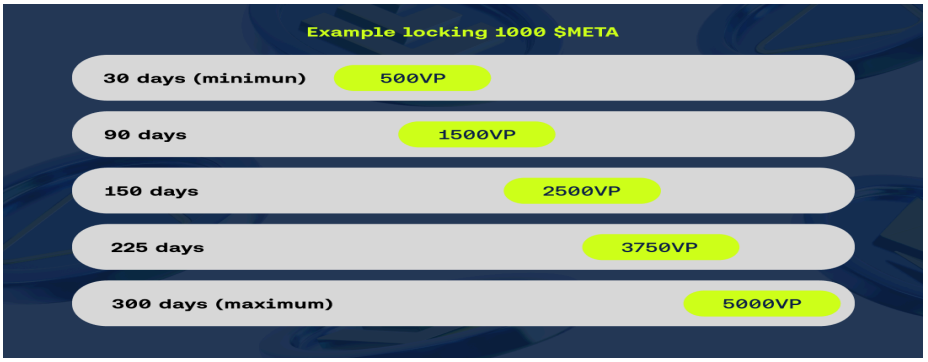
3.3.1 Example of Voting Power, locking 1000 mpDAO.

The voting power is computed as:

$$\frac{mpDao_{locked} \cdot unboundDays}{60}$$

So people committing an unbound period of 30 days will get 0,5x voting power, while others committing an unbound period of 300 days will get 5x the voting power (ten times more)

Voting Power depends on the amount of mpDAO with a multiplier depending on your commitment. If you select the minimum 30 day cool-off period for unlocking, the multiplier is 0.5x, if you select 300 days cool-off period for unlocking, the multiplier is 5x.



3.3.2 Example - claiming protocol fees with locked mpDAO.

This is an approximate calculation of the protocol fees being accrued by a holder of mpDAO tokens.

The following actions are taken into consideration:

- The mpDAO tokens have been locked for 300 days.
- The holder is participating with it´s voting in the Meta Pool DAO.

This is just an example and it should be considered informative, as the actual number of stNEAR being distributed can vary depending on the Total Value Locked (TVL) on the staking platform and this might change depending on delegation received or withdrawn.

So we are calculating the protocol fees based on the following scenario:

- 141 million mpDAO tokens have been locked
    - All of it is locked for 300 days.
- 21.92 million NEAR in TVL
    - 26,125 stNEAR in protocol fees.

The following table describes four users - Lea, Luke, Mateo & Patricia; who have mpDAO tokens and they want to participate in the Meta Pool DAO. They have locked their mpDAO tokens for 300 days each.



User	MPDAO tokens	Voting Power	% of the Protocol fees	stNEAR tokens per month	Protocol fees (Stablecoin, 1 stNEAR ~ $9*)
Lea	1,000,000	5,000,000	1%	261.25	$2351.25
Luke	100,000	500,000	0.1%	26.125	$235.125
Patricia	10,000	50,000	0.01%	2.6125	$23.512
Mateo	1000	5,000	0.001%	0.26125	$2.35125

*subject to market value

Note: All users are participating with their voting power in selecting validator nodes, grants and projects that have requested funding from the Meta Pool DAO.

3.4 Participation in the Meta Pool DAO.

The main utility for the mpDAO governance token is to participate with your voting power in the Meta Pool ecosystem. We will describe all the available areas that users can become involved in and collaborate for growth of the platform.

We have several products:

- Meta Pool Improvement Proposals
- Meta Vote
    - Grant proposals
    - Validator nodes on NEAR
        - Ethereum support coming soon
    - Launchpad projects
- Launchpad

3.4.1 Meta Pool Improvement Proposals.

A Meta Pool Improvement Proposal (MPIP) is an initiative that describes a suggestion or change intended to improve some aspect of the protocol. The proposals can come from community members, users or developers. For more information, please visit our documentation and visit the NEAR BOS component.

3.4.2 Meta Vote.

This is the platform where users can review the different initiatives that are token based and governed by the DAO. Which are divided into: Grants and Validator Nodes (NEAR).

- Grants. These are initiatives that request funding from the Meta Pool DAO, you can view the grants section to see past and upcoming grantees. For more information visit our documentation.
- Validators. The validator set supported by Meta Pool is assigned delegation via token voting. Currently only NEAR nodes can participate, view the full set in the voting section for validators, we are looking to support Ethereum validators in the future. You can review all the documentation in this link.

4. Governance and the Meta Pool DAO

A token based governance system allows token holders to guide and help grow a decentralized platform. Since the beginning of the Meta Pool platform, we decided that it would be a platform for the community, each step we have taken has allowed us to build on top of that vision.

We are effectively decentralizing the most important part of any DAO - the value it creates. In the case of Meta Pool, this is the protocol fees generated by the staking rewards, which we are putting back into the hands of the individuals and organizations that help the protocol grow and achieve our sustainability goals.

As builders we are really excited to have each and everyone of you onboard of this journey, as we progress to a more decentralized system the Meta Pool DAO will be taking on bigger responsibilities such as:

- Adding and removing blockchain networks
- Upgrading smart contracts
- Adjusting fees across multiple products
- Suggest projects and initiatives to support via grants or launchpad
- Token utility

Moving forward we will be sharing with everyone a detailed roadmap for the Meta Poo DAO and invite active members from the community to join our working groups; so we have the community's perspective and it will be our way towards a more decentralized and autonomous organization. We need your contributions to lead Meta Pool DAO on its way to achieve our vision of how decentralized technology can be put to work towards our communities and regions in emerging markets.

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